

Paytm Hisaab

Every rupee, on your side.

The agent that lets a merchant account for their own money when someone in authority demands an explanation.

Agent Labs Buildathon · Phinite × Paytm · Track 2: AI for Small Businesses

Haveri, 2025

A vegetable vendor opens an envelope

He sells vegetables. Vegetables are **exempt** from GST.

He also took UPI, because Paytm asked him to.

The department added up four years of credits into his account and sent him a demand for

₹29 lakh

The notices were withdrawn — for the traders who could *show* what they sold. Most could not.

Within weeks, on shutters across Karnataka:

**“No UPI.
Cash only.”**

A statewide boycott of digital payments by the merchants who had just adopted them.

And this is not a 2025 story

CAclubindia, last updated 02 September 2026 — ten days ago



The screenshot shows the CAclubindia website interface. At the top is a navigation bar with links for News, Articles, Forum, Experts, Notices, Files, Judiciary, and CCI Store. Below this is a dark blue header with icons and labels for Popular Courses, Academy, Coaching, Books, CCI Pro, and a highlighted Mastery Course, along with links for Jobs and a shopping cart. The breadcrumb trail reads 'Home / Articles / GST'. The article title is 'GST Notices on the Rise: Key Issues, Common Mismatches and Major Compliance Areas Taxpayers Must Review'. The author is 'CA VARUN GUPTA' with a last update of '02 September 2026'. There are buttons for 'Save' and 'Share'. At the bottom of the article preview are buttons for 'Join Us', 'Follow Us', and 'Add as Source'.

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GST Notices on the Rise: Key Issues, Common Mismatches and Major Compliance Areas Taxpayers Must Review

CA VARUN GUPTA | Last updated: 02 September 2026 Save Share

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"During August 2026, the GST Department issued a significant number of notices covering different financial years and involving a wide range of issues... They covered matters such as ITC mismatches, ineligible credit, **differences in turnover**, wrong GST classification or rate, **exemption claims**, Reverse Charge Mechanism..."

Two of those categories are the entire content of an evidence pack. And the scrutiny has moved on from *unregistered* traders — it now audits registered ones, composition dealers first in line.

Every rupee a merchant receives is now evidence

Today it is only ever used against them

The tax department

Compares UPI collections against filed returns and issues a notice on the difference. It now audits *registered* traders too — QR, wallet, card and cash deposits all in scope.

The cyber-crime police

Fraud money layers through accounts fast. The shop at the end of the chain — the one that sold someone a watermelon — is lien-marked or frozen. Never named in the FIR, which was filed in another state.

Both demand the same artefact: **what was each rupee, actually?**

Nobody on a QR code can produce it. Paytm holds the data and does nothing with it.

What it costs Paytm: a merchant who cannot explain their receipts takes the QR code down. Dead Soundbox subscription, zero GMV, no lending origination — permanently.

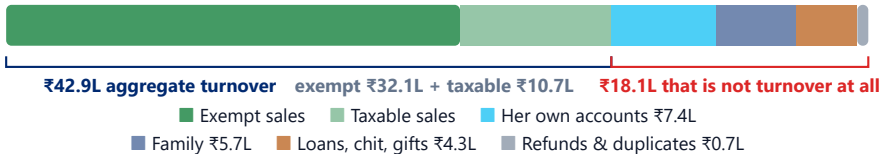
Gross credits are not turnover

One shop, one year, ₹60.98 lakh of credits

WHAT THE NOTICE COUNTS AS TURNOVER

₹60.98 lakh

WHAT ACTUALLY HAPPENED



The gap is not evasion. It is her savings account, her husband, a chit payout and a double-tap on the Soundbox.

The insight

Most teams would build the tax tool *or* the fraud tool. They are the same engine.

Both are downstream
reads of one ledger.
Two output formats,
not two products.

**Provenance Ledger
a merchant-attested
label on every
incoming credit**

**Defensible turnover
threshold watch, notice pack**

**The disputed rupee
freeze pack, NCRP grievance**

The wedge nobody else has.

Khatabook and Vyapar keep books after the fact. ClearTax files returns after the fact.

Neither sits on the rail *at the moment money moves*. Paytm does.

Classification is cheap and accurate at the instant of the transaction — and expensive, unreliable and disputed eighteen months later, when the notice arrives.

The engine

Eight tags, one tap

Every incoming credit gets one tag

taxable_supply	ordinary sale
exempt_supply	vegetables, milk, loose rice
personal_transfer	spouse, parent, sibling
inter_account	her own money
refund_reversal	money back from a vendor
duplicate	paid twice, one refunded
non_business	loan, chit payout, gift
unclassified	not enough signal — ask her

98.6% are ordinary sales, and rules settle them. The agent only reasons about the 1.4% that need judgement.

The agent proposes. The merchant attests.

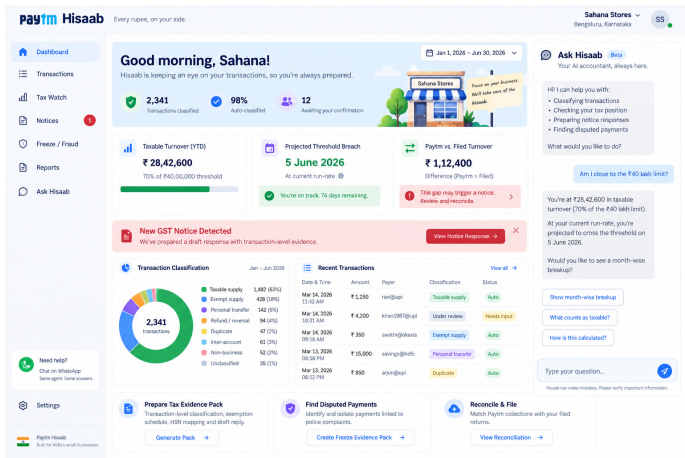
You cannot infer “my husband sent this” from a QR payment. So the agent proposes a tag *with its reason*, and she confirms with one tap, in Kannada, batched daily.

This is not a fallback — it is the point. A ledger she attested *contemporaneously* survives a hearing. An algorithm’s guess, produced under duress a year later, does not.

Budget: at most 3 questions a day.

Over a full simulated year: **189 questions, median 1.3 a day**, never over budget. Ask about more and the product is dead.

What the merchant sees



One surface: what every payment was classified as, how close she is to the threshold, and the packs — plus the same agent on WhatsApp, because that is where she actually is.

Built on Phinite

Two agent graphs, four agents, ten deterministic skills

hisaab-watch (autonomous: cron + API)

Provenance	proposes a tag and a reason for the hard credits
Evidence	assembles packs; exemption schedules, HSN

hisaab-merchant (conversational: chat)

Merchant	the conversation: attestation, alerts, Kannada
Escalation	decides when to stop and route to a human CA

The nightly pass writes its queue of ambiguous credits to the ledger; the chat reads it when she opens it. Deliberately *not* a graph-to-graph call — the queue outliving either run is what makes the handoff robust.

Permissions are the product

Provenance can propose, **never commit**.

Merchant is the *only* agent that can commit an attested tag.

Evidence is **read-only** — it cannot edit a classification to make a pack look better.

Escalation can **halt** any pack before delivery; a human approves.

Ten tools run live against a hosted data service. Every number in a pack is clickable back to the credit and the attestation that produced it, in the trace.

Four decisions that make it defensible

1. Arithmetic lives in skills, not the model

Turnover, projections and apportionment are deterministic Python — versioned, testable, traceable. Wrapping arithmetic in an LLM is the standard tell, and the trace would show it.

3. Refusing to guess is a feature

An `unclassified` credit routed to the merchant costs one tap. A confident wrong tag inside an evidence pack is a catastrophe. We report the refusal rate honestly.

2. Attestation is the promotion boundary

Nothing enters a production evidence pack that the merchant has not confirmed. Sandbox to UAT to prod, with her tap as the gate between the last two.

4. Ground truth, so accuracy is a number

We simulated a year of a shop's life from a known process, split into what Paytm can see and what really happened. Agents read only the visible half — which is why we quote error bars instead of vibes.

Demo · Sahana Stores, Jayanagar

Beat 1 — an ordinary Tuesday

Beat 2 — the warning

Tuesday 10 March. Thirty-nine credits came in over the weekend. The agent asks about **three**.

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“₹15,000 at 11:04pm Sunday, from your savings account — your own money?”

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- ₹7,500 from her husband — *scanned at the shop QR, like any customer*
- ₹4,850 from Raghu Shetty, who has bought twice before — a real sale, and the agent *asks* rather than assuming

The other thirty-six settle silently, and a ₹23 payment nobody can place is left alone.

Paytm Hisaab

Replay the same ledger as of 31 January:

“At your current rate you cross ₹40 lakh around 14 March. You will need to register.”

The projection lands within a day of the true crossing date. **43 days of warning.**

The date is **computed**, not typed — off classified turnover rather than gross credits, and including exempt sales, because s.2(6) says aggregate turnover does.

This beat is what makes the pitch safe.

The agent’s first real act is telling her she owes a registration.

Demo · Beat 3 — the notice

This is the product

The notice claims
₹60.98L
of turnover

The pack answers it line by line — every figure traceable to transaction IDs and the attestation behind them.

Aggregate turnover ₹42.2L

Exempt supplies	₹31.3L	vegetables, loose rice, milk
Taxable supplies	₹10.9L	branded goods, oil, soap

Not turnover at all ₹18.8L

Her own accounts	₹7.4L	savings top-ups before supplier runs
Family	₹6.1L	spouse, parent, in-law
Loans, chit, gifts	₹4.3L	chit payout, festival gifts
Supplier refunds	₹0.5L	short supply, crate returns
Duplicates	₹0.5L	double-tap, one of them refunded

Within **1.6%** of the seeded truth — and the taxable share, the part tax is actually paid on, within **1%**.

And the pack says plainly: **the ₹60.98L claim is wrong — and you *did* cross ₹40 lakh, on 14 March. You must register.**

Demo · Beat 4 — the emergency

The account is frozen at 09:30 and the supplier payment is due

She is not named in the FIR, which was filed in another state. One credit somewhere in her account is three layers downstream of a fraud victim — and **339 payments** came in that week.

The agent isolates it

₹4,200 on 21 March at 19:47, till POS01 — matched by UTR *and independently* by amount and date.

The sale record comes with it: 12kg of onions and the rest of the basket, on the POS bill.

And the decoy it did not choose

A *second* ₹4,200 payment that same week, from a regular customer. It is listed in the pack and explicitly *not* identified as the disputed one. Only the date separates them.

Then it drafts the NCRP-CFCFRMS grievance, citing the judgments holding that only the *disputed amount* should be lien-marked — not the whole account.

It never asserts that she is innocent.

Some frozen accounts genuinely are mule accounts. The agent assembles evidence; a human decides. Escalation holds the pack for approval.

What we can actually prove

One merchant, one year, 13,267 credits — scored against seeded ground truth

1.6%

error on aggregate turnover
(taxable share within 1%)

1.3 a day

median questions asked —
189 in a year, never over 3

43 days

of warning before the
threshold crossing

zero

credits left untagged
across the whole year

The honest baseline

A 50-line rules-only classifier gets 99.3% on sale vs not-a-sale — but catches only **77.8%** of non-sale credits.

That residue alone puts two eval merchants on the *wrong side* of ₹40L.

Closing it is what the agent plus one tap is for.

She corrected the agent 52 times that year. Those corrections are the ledger's strongest evidence, not its failures.

The line we do not cross

Accuracy, not minimisation

- We compute what she **genuinely owes** and say so plainly — including “you crossed the threshold, you must register.”
- We **never assert a final liability**. We compute, show the workings, and route to a CA.
- We **never assert innocence** on a freeze. We assemble evidence.
- We **file nothing** with any authority. Artefacts only — the merchant or their CA files.
- Cash sales are real and **out of scope**. We handle the digital trail, and we say so.

Why this has to be Paytm

The rail is the only place provenance is cheap. Everyone else arrives eighteen months late, when the answer is already unrecoverable.

And the alternative is the sign on the shutter — “No UPI. Cash only.” A dead Soundbox, zero GMV, and a merchant who never becomes a lending customer.

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